

Maharashtra Public Service Commission Assessment

Subject Name :	Assistant Professor Finance Group A Higher and Technical Education Department
Duration :	60
Number of Questions :	100
Total Marks :	200
Display Marks:	Yes
Maximum Instruction Time :	0
Is Section Default? :	No

Question Number : 1 Question Id : 4410092120128 Question Type : MCQ

Which of the following best describes the transactional motive for holding inventory?

Options :

1. Keeping obsolete inventory for possible future use
2. Holding extra inventory to respond to emergencies only
3. Reducing inventory to minimize investment costs
4. Maintaining inventory to ensure smooth production

Question Number : 2 Question Id : 4410092120143 Question Type : MCQ

Which of the following is not a plausible disadvantage of maintaining a high minimum inventory level?

Options :

1. Improved purchasing leverage through larger procurement volumes
2. Higher working capital commitment with reduced liquidity for other operational needs
3. Increased exposure to storage and insurance costs for the organization
4. Raising the risk of inventory obsolescence and value erosion over time

Question Number : 3 Question Id : 4410092120133 Question Type : MCQ

How does maintaining optimum inventory levels contribute to a firm's working capital management?

Options :

1. It raises fixed overhead expenses by mandating massive physical storage facilities.
2. It improves overall market liquidity by stockpiling assets regardless of demand.
3. It minimizes every operational expense across unrelated segments of the business.
4. It minimizes idle cash trapped in stock, unlocking vital operational liquidity.

Question Number : 4 Question Id : 4410092120126 Question Type : MCQ

A company wants to reduce the capital tied up in inventory without disrupting its production process. Which set of objectives should it prioritize?

Options :

1. Adequate material availability, Lower stockholding costs and efficient stock movement
2. Higher buffer stocks, greater warehouse utilization, and longer storage periods
3. Maximum Stock coverage, Increased procurement quantity and reduced order frequency
4. Expanded inventory reserves, centralized storage, and higher safety stock levels

Question Number : 5 Question Id : 4410092120138 Question Type : MCQ

Which vulnerability escalates when low-frequency, high-value components are erroneously designated as low-priority assets?

Options :

1. Systemic inflation of downstream production lead times
2. Elevated exposure to severe stockouts of critical SKUs
3. Disproportionate accumulation of non-essential items
4. Artificial amplification of external consumer demand volatility

Question Number : 6 Question Id : 4410092089415 Question Type : MCQ

Which objective is most closely associated with modern financial management theory?

Options :

1. Maximizing short-term accounting profits
2. Expanding operational capacity across markets
3. Maximizing shareholder wealth through optimal financial decisions
4. Achieving production efficiency with minimum administrative cost

Question Number : 7 Question Id : 4410092089417 Question Type : MCQ

Which area of financial management primarily involves evaluating and selecting long-term capital projects to maximize organizational value?

Options :

1. Capital structure decision
2. Dividend payout decision
3. Working capital decision
4. Capital budgeting decision

Question Number : 8 Question Id : 4410092089423 Question Type : MCQ

According to the modern approach to financial management that emerged after 1950, what became the primary objective of finance?

Options :

1. Maintaining legal compliance
2. Focusing on day-to-day transactions
3. Ensuring lender interests are met
4. Maximizing the value of the firm

Question Number : 9 Question Id : 4410092089444 Question Type : MCQ

Which two factors are central to every financial decision a firm makes?

Options :

1. Assets and liabilities
2. Risk and return
3. Profit and loss
4. Revenue and expenses

Question Number : 10 Question Id : 4410092089421 Question Type : MCQ

Under the traditional approach to financial management before the 1950s, the finance manager's primary responsibility was:

Options :

1. Managing investment portfolios to maximize returns
2. Determining optimal allocation of available resources
3. Arranging and raising funds required by the business
4. Managing working capital efficiency

Question Number : 11 Question Id : 4410092089442 Question Type : MCQ

If a company retains a higher portion of its profits instead of paying them out as dividends, what is the most likely effect on its financing needs?

Options :

1. It will restrict future investments
2. It will increase reliance on debt
3. It will reduce the need for external financing
4. It will lead to higher dividend payouts

Question Number : 12 Question Id : 4410092089452 Question Type : MCQ

Which primary function distinguishes financial management from accounting within an organization?

Options :

1. Making forward-looking strategic decisions
2. Ensuring compliance with GAAP standards
3. Analyzing and reporting historical costs
4. Maximizing tax benefits for external reporting

Question Number : 13 Question Id : 4410092089457 Question Type : MCQ

Which responsibility best demonstrates how a financial controller connects financial management with production management activities?

Options :

1. Supervising employee compensation and personnel administration
2. Coordinating customer support and after-sales service operations
3. Developing promotional strategies for expanding market presence
4. Controlling funds for equipment acquisition and resource planning

Question Number : 14 Question Id : 4410092089425 Question Type : MCQ

Which advancement primarily enhanced the accuracy of financial forecasting, valuation, and risk assessment in modern financial management after 1950?

Options :

1. Integration of quantitative techniques with economic analysis
2. Continued dependence on descriptive institutional reporting
3. Reliance solely on Modern Portfolio Theory
4. Exclusive application of the Modigliani–Miller propositions

Question Number : 15 Question Id : 4410092089433 Question Type : MCQ

A company's management increases earnings per share by repurchasing shares through additional debt, but the firm's overall risk profile significantly increases. From a shareholder wealth maximization perspective, this decision should be evaluated based on:

Options :

1. Increase in reported earnings per share
2. Impact on firm value after considering risk
3. Reduction in number of outstanding shares
4. Improvement in short-term market indicators

Question Number : 16 Question Id : 4410092089436 Question Type : MCQ

A company has several positive NPV investment opportunities but also faces shareholder expectations of stable dividend payments. Which dividend policy best balances these competing objectives?

Options :

1. Follow a residual dividend policy after funding value-creating investments.
2. Distribute all current earnings as dividends each year.
3. Maintain a constant dividend payout regardless of investment needs.
4. Suspend all future dividend payments indefinitely.

Question Number : 17 Question Id : 4410092089440 Question Type : MCQ

A firm has accumulated surplus cash beyond its operating requirements. To maximize returns while maintaining adequate liquidity, the financial manager must decide how to invest these funds. Which approach best reflects effective cash management within working capital management?

Options :

1. Invest excess funds in liquid short-term instruments after assessing cash flow requirements
2. Retain all surplus cash to avoid any possible future financing constraints
3. Use surplus funds to increase inventory levels regardless of demand conditions
4. Provide extended credit terms to customers to strengthen market relationships

Question Number : 18 Question Id : 4410092089447 Question Type : MCQ

A manufacturing firm increases its inventory and cash balances significantly to avoid stockouts and liquidity problems. However, its return on assets declines over time. Which working capital principle best explains this outcome?

Options :

1. Excess liquidity reduces profitability due to inefficient asset utilization
2. Higher current assets always improve shareholder wealth creation
3. Reduced inventory levels increase both risk and profitability simultaneously
4. Conservative working capital policies eliminate financing costs completely

Question Number : 19 Question Id : 4410092089453 Question Type : MCQ

A financial manager evaluates different combinations of debt and equity financing to minimize the cost of capital while maintaining an acceptable level of financial risk. Which theoretical framework primarily supports this decision?

Options :

1. Capital structure theory
2. Working capital management theory
3. Marketing strategy framework
4. Cost accounting system

Question Number : 20 Question Id : 4410092089458 Question Type : MCQ

A company discovers recurring minor errors in its payroll process. Who would be primarily responsible for establishing controls to prevent such errors, and why?

Options :

1. The Head of Human Resources, for managing employee engagement
2. The Financial Controller, as they oversee internal controls and risk management
3. The Chief Financial Officer, who sets overall company strategy
4. The Finance Manager, due to their focus on future investments

Question Number : 21 Question Id : 4410092089460 Question Type : MCQ

Which of the following best describes a core feature of capital budgeting?

Options :

1. It focuses on short-term cash flow adjustments
2. It involves substantial financial outlays for fixed assets
3. It deals with minor operational changes only
4. It manages day-to-day expense tracking for supplies

Question Number : 22 Question Id : 4410092089461 Question Type : MCQ

Why are capital budgeting decisions typically made by senior executives rather than regular staff?

Options :

1. They pertain to low-impact purchases with minimal risk
2. They involve high-stake, long-term, and often irreversible commitments
3. They are related to recurring monthly payments only
4. They focus on routine office equipment maintenance

Question Number : 23 Question Id : 4410092089468 Question Type : MCQ

A company upgrades its manufacturing equipment to incorporate the latest technology, resulting in lower operating costs. This investment is best classified as which type of capital project?

Options :

1. Modernization
2. Expansion
3. Replacement
4. Compliance

Question Number : 24 Question Id : 4410092089484 Question Type : MCQ

If you keep ₹1,00,000 in cash at home for ten years without investing, what is the most likely outcome according to the time value of money and inflation concepts?

Options :

1. Your money will have greater purchasing power over time
2. Your money will have the same face value but reduced purchasing power
3. Your money will be protected from inflation and retain its value
4. Your money will increase in value due to inflation

Question Number : 25 Question Id : 4410092089487 Question Type : MCQ

Which process in the Time Value of Money concept is used to find the future value of a present sum by accumulating interest over time?

Options :

1. Annuity Due
2. Discounting
3. Investing
4. Compounding

Question Number : 26 Question Id : 4410092089466 Question Type : MCQ

A company routinely undertakes capital investment projects but does not conduct post-completion performance reviews. What is the most likely strategic implication of this omission over time?

Options :

1. The firm may face difficulties in improving future investment appraisal accuracy
2. The firm may become unable to estimate project cash inflows effectively
3. The firm may lose the ability to finance long-term investment proposals
4. The firm may automatically increase project implementation efficiency

Question Number : 27 Question Id : 4410092089469 Question Type : MCQ

A manufacturing firm evaluates a capital expenditure proposal for upgrading its production facility. The project is mandatory due to regulatory requirements, reduces operational risk, and does not generate direct cash inflows. How should this project be classified?

Options :

1. Compliance project aimed at meeting regulatory obligations
2. Replacement project aimed at restoring existing asset capacity
3. Modernization project aimed at improving operational efficiency
4. Expansion project aimed at increasing production capacity

Question Number : 28 Question Id : 4410092089472 Question Type : MCQ

Which challenge in capital budgeting can result from overestimating sales revenue or underestimating ongoing maintenance costs during cost and benefit estimation?

Options :

1. Salvage value estimation
2. Optimism bias
3. Inflation adjustment
4. Ignoring time value of money

Question Number : 29 Question Id : 4410092089474 Question Type : MCQ

A firm needs to quickly recover its invested funds due to high market uncertainty. Which capital budgeting technique provides the best assessment for this objective?

Options :

1. Net Present Value (NPV)
2. Payback Period (PBP)
3. Accounting Rate of Return (ARR)
4. Internal Rate of Return (IRR)

Question Number : 30 Question Id : 4410092089485 Question Type : MCQ

If inflation outpaces your investment returns, what is the effect on your wealth?

Options :

1. Your real wealth increases steadily despite lower investment returns
2. Your wealth doubles gradually because inflation raises market prices
3. Your real wealth remains constant despite changes in inflation rates
4. Your real wealth decreases even when investment value rises nominally

Question Number : 31 Question Id : 4410092089590 Question Type : MCQ

Which financial decision is most directly analyzed using the EBIT EPS approach?

Options :

1. Choice between debt and equity financing
2. Evaluation of asset purchases
3. Setting dividend policy for shareholders
4. Selection of investment projects

Question Number : 32 Question Id : 4410092089579 Question Type : MCQ

A company records a 12% increase in sales and a 35% increase in EBIT. Which inference best explains this outcome?

Options :

1. High financial leverage due to substantial interest obligations.
2. Low operating leverage due to higher variable operating costs.
3. High operating leverage due to significant fixed operating costs.
4. Low financial leverage due to reduced long-term borrowings.

Question Number : 33 Question Id : 4410092089581 Question Type : MCQ

Which situation indicates the presence of financial leverage rather than operating leverage in a firm's capital structure?

Options :

1. Fixed production expenses amplify operating profit sensitivity levels.
2. Fixed interest commitments amplify shareholder earnings variability.
3. Variable production expenses amplify operating profit sensitivity levels.
4. Variable financing expenses amplify shareholder earnings stability levels.

Question Number : 34 Question Id : 4410092089586 Question Type : MCQ

In the multidimensional assessment of corporate risk exposure, which of the following statements most precisely differentiates business risk, arising from the uncertainty inherent in a firm's operating environment, from financial risk, stemming from its capital structure decisions?

Options :

1. Both business risk and financial risk occur only in highly leveraged firms.
2. Business risk and financial risk are both eliminated by increasing equity capital.
3. Business risk affects all firms, while financial risk only impacts firms with debt financing.
4. Financial risk always exists, but business risk is absent in debt-free firms.

Question Number : 35 Question Id : 4410092089592 Question Type : MCQ

A company is evaluating two capital structures: Plan X with more debt and Plan Y with more equity. If EBIT is expected to be highly volatile, which structure is likely to result in greater fluctuations in EPS?

Options :

1. Plan with no leverage
2. Plan Y with more equity
3. Plan with equal debt and equity
4. Plan X with more debt

Question Number : 36 Question Id : 4410092089596 Question Type : MCQ

A highly leveraged firm is operating in an environment of earnings volatility and is nearing its financial break-even threshold, where earnings before interest and taxes (EBIT) are just sufficient to cover fixed financial obligations. Under such circumstances, which consequence is most likely to characterize the behavior of earnings available to equity shareholders?

Options :

1. A small decrease in EBIT will result in a magnified decline in earnings available to equity shareholders.
2. Earnings available to equity holders will remain largely unaffected because fixed financial charges stabilize returns.
3. The degree of financial leverage diminishes as the firm approaches its financial break-even point, thereby reducing equity risk.
4. Financial leverage enhances the firm's ability to absorb fluctuations in operating income without affecting shareholder returns.

Question Number : 37 Question Id : 4410092089598 Question Type : MCQ

Which of the following situations best represents the financial break-even point of a leveraged firm?

Options :

1. The company's EBIT exceeds all fixed and variable costs but not financial charges
2. The company's EBIT is below its total fixed costs and interest charges
3. The company's EBIT covers only interest expenses, with zero profit before tax
4. The company's EBIT leads to a positive profit before tax after interest

Question Number : 38 Question Id : 4410092089606 Question Type : MCQ

In the computation of the Weighted Average Cost of Capital (WACC), which combination represents the principal long-term sources of finance generally included in determining the firm's overall cost of capital?

Options :

1. Debt capital and equity capital
2. Cash balances and stock holdings
3. Debt capital and stock holdings
4. Equity capital and cash balances

Question Number : 39 Question Id : 4410092089604 Question Type : MCQ

What is a key difference between cost of equity and cost of retained earnings?

Options :

1. Equity cost ignores cost of debt
2. Retained earnings include tax benefits
3. Equity cost is not affected by dividends
4. Retained earnings cost excludes flotation costs

Question Number : 40 Question Id : 4410092089605 Question Type : MCQ

A government-owned firm's equity is not listed on the stock exchange, but it wants to estimate its cost of equity for a new project. Which method is most appropriate?

Options :

1. Use book value of equity and cost of debt
2. Use the risk-free rate without adjustment
3. Use industry peer beta and risk premium in CAPM
4. Use the own company's historical dividend record

Question Number : 41 Question Id : 4410092089623 Question Type : MCQ

According to Pecking Order Theory, what is the least preferred source of financing for firms?

Options :

1. Retained earnings usage
2. Raising funds via short-term debt
3. Issuing new equity to investors
4. Using internal cash reserves

Question Number : 42 Question Id : 4410092089610 Question Type : MCQ

Which assumption is most critical for the validity of the Relevance Theory in capital structure analysis?

Options :

1. No transaction costs exist in the market
2. Capital markets are not perfectly efficient
3. Perfect competition with no agency costs
4. Companies operate in the same industry

Question Number : 43 Question Id : 4410092089614 Question Type : MCQ

Under the Modigliani–Miller Irrelevance Theory, assuming perfect capital markets and the absence of taxes, what is the fundamental proposition regarding a firm's capital structure?

Options :

1. Firm value remains unaffected by financing choices.
2. Firm value increases significantly with debt usage.
3. Firm value depends primarily on equity financing.
4. Firm value varies according to dividend decisions.

Question Number : 44 Question Id : 4410092089618 Question Type : MCQ

Under the **Net Operating Income (NOI) Approach** to capital structure, which of the following assumptions forms the basis for determining the overall value of a firm?

Options :

1. The firm's market value varies directly with changes in financial leverage.
2. The firm's total value remains unchanged despite variations in capital structure.
3. The firm's equity value declines continuously as the proportion of debt rises.
4. The firm's aggregate value increases progressively with higher debt financing.

Question Number : 45 Question Id : 4410092089619 Question Type : MCQ

Under the assumptions of the Net Operating Income (NOI) Approach to capital structure, wherein the firm's overall capitalization rate is presumed invariant to changes in financial leverage, how does a progressive increase in the proportion of debt financing affect the firm's weighted average cost of capital (WACC)?

Options :

1. The WACC increases because additional borrowing continuously raises the firm's overall capitalization rate and financing cost.
2. The WACC first declines and later increases after the firm reaches its optimal debt-equity financing structure.
3. The WACC remains constant because the increase in equity cost exactly offsets the lower cost of additional debt financing.
4. The WACC decreases because lower-cost debt permanently reduces the firm's average cost of total capital employed.

Question Number : 46 Question Id : 4410092089627 Question Type : MCQ

A company's dividend decision directly impacts which of the following?

Options :

1. Government tax rates
2. Shareholder income from investments
3. Company legal compliance
4. Employee salary structures

Question Number : 47 Question Id : 4410092089641 Question Type : MCQ

The Walter Model of dividend policy is primarily concerned with examining which of the following relationships within a corporate finance framework?

Options :

1. The interaction between project risk and capital budgeting decisions
2. The linkage between interest rates and government security valuation
3. The connection between market volatility and investor trading behaviour
4. The association between dividend policy and the market value of a firm

Question Number : 48 Question Id : 4410092089628 Question Type : MCQ

Dividend decisions are primarily concerned with what aspect of a firm's financial strategy?

Options :

1. Selection of assets for fixed capital investments
2. Planning for capital expenditure projects
3. Prioritization of long-term debt repayment
4. Allocation of earnings between distribution and retention

Question Number : 49 Question Id : 4410092089632 Question Type : MCQ

Which statement most accurately explains the residual dividend policy followed by a company while determining dividend payments?

Options :

1. Dividends are distributed before evaluating investment requirements of the firm.
2. Dividends are declared after funding all viable investment projects of the firm.
3. Dividends are maintained at a constant level despite changing capital needs.
4. Dividends are paid by distributing the entire annual earnings of the firm.

Question Number : 50 Question Id : 4410092089642 Question Type : MCQ

Which statement accurately describes the implication of Walter's Model for growth firms?

Options :

1. Growth firms should rely mainly on external borrowings for growth
2. Growth firms should focus only on increasing market price
3. Growth firms should prefer retaining earnings over paying dividends
4. Growth firms should always pay out all profits as dividends

Question Number : 51 Question Id : 4410092089633 Question Type : MCQ

In the context of agency theory and dividend policy, under which of the following circumstances would the payment of dividends most effectively mitigate agency costs arising from the separation of ownership and control in a publicly listed corporation?

Options :

1. Managers retain a substantial portion of free cash flows to finance discretionary projects with questionable net present values, while shareholders advocate for higher dividend distributions.
2. The company distributes all available earnings as dividends despite the existence of multiple positive net present value investment opportunities.
3. Shareholders unanimously support management's decision to accumulate cash reserves for future strategic acquisitions.
4. The firm's dividend payout remains unchanged because managerial and shareholder interests are perfectly aligned through comprehensive incentive contracts.

Question Number : 52 Question Id : 4410092089637 Question Type : MCQ

In corporate financial management, why should dividend decisions not be viewed merely as residual outcomes after financing all available investment opportunities?

Options :

1. Because dividend policy may signal future earnings prospects and influence investors' assessment of firm value.
2. Because dividend distributions permanently remove all conflicts arising between managers and shareholders.
3. Because dividend payments consistently lower capital costs regardless of prevailing market conditions.
4. Because dividend decisions mainly affect bookkeeping classifications without influencing investor perceptions.

Question Number : 53 Question Id : 4410092089640 Question Type : MCQ

In the context of dividend policy formulation, a firm operating in a highly volatile industry characterized by significant uncertainty in future cash flows and earnings would most likely emphasize which determinant when establishing a sustainable dividend distribution framework?

Options :

1. Consistency and predictability of earnings across successive accounting periods.
2. Variations in investor-specific tax treatment of dividend and capital income.
3. Magnitude of short-term fluctuations in stock market trading volume.
4. Prevailing movements in economy-wide interest rates affecting capital markets.

Question Number : 54 Question Id : 4410092089643 Question Type : MCQ

A company is currently generating an internal rate of return on retained earnings that is persistently lower than the shareholders' required rate of return. Assuming the validity of Walter's Dividend Relevance Model, no external financing, and a stable earnings stream, which dividend policy would maximize the market value of the firm's equity?

Options :

1. Distribute all available earnings as dividends because investors can reinvest the funds at a higher required rate of return.
2. Retain all available earnings within the business because internal reinvestment always increases shareholder wealth over time.
3. Retain most available earnings within the business to finance future projects regardless of current investment returns.
4. Maintain any chosen dividend payout policy because dividend decisions do not affect equity market valuation.

Question Number : 55 Question Id : 4410092089644 Question Type : MCQ

According to Walter's Dividend Valuation Model, identify the precise financial circumstance under which a firm's optimal dividend policy would require the distribution of its entire earnings to shareholders in order to maximize the market value of its equity, assuming perfect certainty regarding future earnings and investment opportunities?

Options :

1. When the firm's internal rate of return on retained earnings is equal to the shareholders' required rate of return
2. When the firm's internal rate of return on retained earnings is lower than the shareholders' required rate of return
3. When the firm's internal rate of return on retained earnings exceeds the shareholders' required rate of return
4. When the firm's retention ratio is independent of its cost of equity capital

Question Number : 56 Question Id : 4410092089717 Question Type : MCQ

Which combination best reflects the dual role of working capital in an organization's short-term financial health?

Options :

1. Cash flow maximization and shareholder return enhancement
2. Market share growth and tax minimization
3. Profit margin expansion and asset revaluation
4. Liquidity provision and operational continuity

Question Number : 57 Question Id : 4410092089713 Question Type : MCQ

A firm reduces its working capital below industry norms to improve return on capital employed. Which risk is most likely to increase, and why does this pose a threat to the firm's operations?

Options :

1. Solvency risk increases from higher long-term liabilities
2. Profitability risk increases due to higher operating leverage
3. Liquidity risk increases due to insufficient buffer for obligations
4. Financing risk increases from overreliance on equity capital

Question Number : 58 Question Id : 4410092089714 Question Type : MCQ

A manufacturing firm observes frequent production stoppages due to delays in raw material delivery and extended collection periods from customers. Which combination of working capital elements is most likely contributing to this issue?

Options :

1. Over-investment in fixed assets and high depreciation charges
2. Excess cash balances and minimal supplier credit
3. Short-term borrowing and excessive creditor dependence
4. Ineffective inventory management and elongated receivables cycle

Question Number : 59 Question Id : 4410092089718 Question Type : MCQ

A technology distributor evaluates its working capital based on current assets minus current liabilities, but excludes bank overdrafts from current liabilities. What is the primary conceptual flaw in its working capital assessment?

Options :

1. Overstating asset utilization by ignoring financing sources
2. Focusing on operational performance instead of financial position
3. Understating liquidity risk by omitting short-term obligations
4. Double counting cash inflows in liquidity calculations

Question Number : 60 Question Id : 4410092089721 Question Type : MCQ

A manufacturing company classifies its raw materials, work-in-progress, and finished goods as current assets for working capital computation. Which type of working capital concept does this classification align with?

Options :

1. Permanent working capital
2. Gross working capital
3. Temporary working capital
4. Net working capital

Question Number : 61 Question Id : 4410092089726 Question Type : MCQ

A firm with consistently excessive working capital is most likely to experience which combination of operational and strategic disadvantages?

Options :

1. Increased idle funds and reduced return on investment
2. Higher liquidity risk and greater difficulty meeting short-term obligations
3. Reduced inventory carrying costs and improved asset utilization
4. Lower bad-debt exposure and increased profitability

Question Number : 62 Question Id : 4410092089729 Question Type : MCQ

In a scenario where inadequate working capital forces a firm to prioritize urgent liabilities over regular operations, which adverse effect is most likely to emerge from this short-term focus?

Options :

1. Reduced fixed asset turnover ratios in the short term
2. Strained supplier relations from delayed payments
3. Improved bargaining power with major creditors
4. Increased tax liability due to missed payment deadlines

Question Number : 63 Question Id : 4410092089723 Question Type : MCQ

A retail chain has a history of sales volatility due to holiday seasons. Its finance manager is assessing two approaches: maintaining only permanent working capital or combining permanent with variable working capital. Which approach better manages both liquidity and cost efficiency, and why?

Options :

1. Adopting only variable working capital to respond to market changes
2. Treating all working capital as fully fluctuating regardless of baseline requirements
3. Using both permanent and variable working capital to match base and fluctuating needs
4. Maintaining only permanent working capital for all situations

Question Number : 64 Question Id : 4410092089731 Question Type : MCQ

A retail chain opts to minimize working capital to boost reported return on equity. Which hidden danger could most critically undermine this financial strategy in volatile market conditions?

Options :

1. Lower credit risk due to reduced borrowing needs
2. Gradual loss of market share from increased administrative costs
3. Sustained shareholder confidence due to higher ratios
4. Forced asset sales at unfavorable prices during demand spikes

Question Number : 65 Question Id : 4410092089735 Question Type : MCQ

In a scenario where a firm operates in a sector with unpredictable customer payment patterns and must comply with stricter regulatory capital requirements, which working capital planning priority becomes most critical to ensure ongoing solvency?

Options :

1. Reducing inventory holdings to free up cash resources
2. Maintaining robust liquidity buffers above normal operating levels
3. Extending supplier payment terms to the maximum allowable period
4. Relying on receivables factoring for immediate cash flow needs

Question Number : 66 Question Id : 4410092089738 Question Type : MCQ

A manufacturing firm with highly seasonal sales is evaluating its working capital financing. If it chooses to finance permanent current assets with long-term debt and fluctuating current assets with short-term borrowings, which risk is it primarily seeking to manage, and what is a likely trade-off?

Options :

1. It is focusing on reducing interest expense, but will have higher refinancing risk.
2. It is mainly targeting liquidity risk, but may increase short-term profit volatility.
3. It is primarily managing refinancing risk, but may face higher average financing costs.
4. It is seeking to minimize both financing cost and risk with no significant trade-off.

Question Number : 67 Question Id : 4410092089743 Question Type : MCQ

A firm with aggressive credit terms to customers and short supplier payment periods faces cash flow pressures. Which adjustment to the working capital equation would most directly address the firm's operational liquidity challenge?

Options :

1. Lengthening supplier credit terms without changing customer policies
2. Tightening customer credit policy while expanding inventory holding period
3. Extending creditor payment period while tightening customer credit policy
4. Expanding inventory holding period and delaying supplier payments

Question Number : 68 Question Id : 4410092089748 Question Type : MCQ

A firm with fluctuating demand uses a weighted average finished goods storage period for working capital estimation. If the firm now introduces a new product line with a significantly shorter shelf life than its existing products, which approach most accurately incorporates this change into working capital estimation?

Options :

1. Use only the longer shelf life of existing products for the estimation.
2. Continue using the historical weighted average storage period from prior years.
3. Use only the shorter shelf life of the new product for all inventory.
4. Revise the weighted average storage period to reflect the new product mix.

Question Number : 69 Question Id : 4410092089750 Question Type : MCQ

A firm with seasonal fluctuations in sales is estimating its working capital requirement. Inventory is purchased in bulk at year start, receivables have variable collection periods, and payables offer extended credit terms. Which approach will best ensure liquidity without excess idle funds?

Options :

1. Base the estimate on peak net working capital exposure.
2. Use average balances for all components throughout the year.
3. Apply last year's actual working capital ratios without adjustment.
4. Set all working capital components at their minimum observed levels.

Question Number : 70 Question Id : 4410092089758 Question Type : MCQ

A firm's treasury team observes that despite regular monitoring, there are persistent mismatches between projected and actual working capital needs, largely due to frequent sales returns and delayed supplier deliveries. Which advanced control method best addresses both sources of error?

Options :

1. Integrate rolling cash flow forecasting with exception-based variance analysis
2. Use periodic post-period reconciliations to identify discrepancies
3. Focus on supplier lead time monitoring to predict cash needs
4. Rely on standard static budgeting for working capital estimation

Question Number : 71 Question Id : 4410092089760 Question Type : MCQ

If a company consistently holds excessive cash without a clear plan, what is the most likely consequence?

Options :

1. Improved credit rating in all cases
2. Reduced potential returns due to idle funds
3. Elimination of all financial risks
4. Guaranteed future growth of the company

Question Number : 72 Question Id : 4410092089769 Question Type : MCQ

A finance manager is tasked with selecting marketable securities for surplus cash management. Which combination of principles should guide the selection to ensure optimal liquidity and capital preservation in a volatile market?

Options :

1. Focusing on highest yield and longest tenure
2. Choosing securities only from government entities
3. Emphasizing marketability over issuer reputation
4. Prioritizing short maturity and high credit quality

Question Number : 73 Question Id : 4410092089773 Question Type : MCQ

A company with a historically conservative credit policy is considering extending more liberal credit terms to attract new customers. Which combination of outcomes would best demonstrate the strategic benefit of this policy adjustment, assuming stable collection efficiency and unchanged bad debt ratios?

Options :

1. Increased sales revenue with proportionately higher overdue accounts
2. Increased bad debt with stable sales
3. Increased sales revenue with stable collection performance
4. Lower sales with stable overdue accounts

Question Number : 74 Question Id : 4410092089763 Question Type : MCQ

An organization's cash management planning reveals conflicting recommendations from its treasury and strategic investment teams. Treasury advocates for larger cash buffers due to anticipated operational disruptions, while investment seeks to reduce idle cash for higher returns. What is the most robust evaluative framework for resolving this conflict in cash management planning?

Options :

1. Splitting the available cash equally between buffer and investment allocations
2. Adopting the treasury team's recommendation to maximize liquidity regardless of opportunity cost
3. Averaging the recommended buffer sizes to determine a compromise value
4. Evaluating liquidity risks against expected investment benefits

Question Number : 75 Question Id : 4410092089764 Question Type : MCQ

A diversified manufacturing firm faces unpredictable supplier payment cycles and receives irregular customer remittances. To enhance its cash management planning, which approach most effectively addresses both liquidity assurance and cost minimization, considering the need for operational continuity and opportunity cost control?

Options :

1. Applying historical average-based cash holding policies
2. Establishing a rolling cash forecast with dynamic buffer assessment
3. Setting fixed minimum reserve levels for contingencies
4. Prioritizing opportunity cost minimization over liquidity needs

Question Number : 76 Question Id : 4410092089828 Question Type : MCQ

Which of the following transactions is an example of a cross border financial flow?

Options :

1. Export of raw materials to another country
2. Foreign direct investment into a domestic company
3. Sale of equity within the domestic market
4. Import of machinery from abroad

Question Number : 77 Question Id : 4410092089841 Question Type : MCQ

Which committee is associated with recommending steps for capital account convertibility in India?

Options :

1. Narasimham Committee
2. Tarapore Committee
3. Kelkar Committee
4. Rangarajan Committee

Question Number : 78 Question Id : 4410092089818 Question Type : MCQ

A multinational corporation is evaluating an investment in a country where the government may impose exchange controls or restrict the transfer of capital abroad. Why should political risk be incorporated into the firm's international financial decision-making?

Options :

1. Because political risk primarily determines product development schedules.
2. Because political risk directly establishes employee compensation policies.
3. Because political risk may restrict the repatriation of profits and invested capital.
4. Because political risk automatically increases production efficiency.

Question Number : 79 Question Id : 4410092089835 Question Type : MCQ

Which of the following could be a risk of adopting full capital account convertibility too quickly?

Options :

1. Increase in inflation due to trade restrictions
2. Sudden large capital outflows destabilizing the economy
3. Strict limits on international trade transactions
4. Permanent reduction of foreign exchange reserves only

Question Number : 80 Question Id : 4410092089819 Question Type : MCQ

When a multinational firm evaluates investment opportunities in different countries, which is a key international finance function in the decision process?

Options :

1. Applying uniform accounting standards across all countries
2. Using home country interest rates for all investment evaluations
3. Calculating only the domestic tax implications of each project
4. Assessing country risk and currency exposure for each project

Question Number : 81 Question Id : 4410092089821 Question Type : MCQ

In international financial management, which approach most effectively manages tax liability for a multinational group?

Options :

1. Utilizing double taxation treaties between countries
2. Relying only on local tax code interpretations
3. Delaying tax payments to improve cash flow
4. Ignoring transfer pricing adjustments altogether

Question Number : 82 Question Id : 4410092089824 Question Type : MCQ

If technological innovation reduces the opportunity cost of producing a good in one country, what is the likely effect on international trade patterns?

Options :

1. The country will specialize more in that good and increase exports
2. The country will maintain current trade volumes with partners
3. The country will shift to importing that good from others
4. The country will reduce imports of that good and focus on services

Question Number : 83 Question Id : 4410092089837 Question Type : MCQ

A country's central bank persistently intervenes in the foreign exchange market by selling foreign exchange reserves to support its domestic currency. If this strategy continues without a corresponding improvement in external sector fundamentals, which consequence is most likely over the medium to long term?

Options :

1. Reduced capacity of the central bank to stabilize the exchange rate during periods of external financial stress.
2. Improvement in the current account balance because lower reserves directly reduce import payments.
3. Greater monetary policy independence as foreign exchange interventions become less necessary.
4. Lower sovereign borrowing costs because continued intervention strengthens investor confidence.

Question Number : 84 Question Id : 4410092089839 Question Type : MCQ

A country implements a significant currency devaluation. Which scenario best illustrates the likely impact on its current account, assuming price elasticities of demand for exports and imports are both greater than one?

Options :

1. Export volumes rise, import volumes fall, current account improves
2. Export and import volumes both fall, current account worsens
3. Export volumes remain unchanged, import volumes rise, current account remains same
4. Export volumes fall, import volumes rise, current account worsens

Question Number : 85 Question Id : 4410092089840 Question Type : MCQ

A central bank is considering devaluation to address a sustained current account deficit. What must policymakers ensure for devaluation to achieve its intended effect?

Options :

1. The capital account must be in surplus for devaluation to work
2. Commodity prices must decrease internationally
3. Domestic supply must be able to respond to increased export demand
4. Government spending must be reduced to offset devaluation

Question Number : 86 Question Id : 4410092089845 Question Type : MCQ

Which institution was created alongside the Bretton Woods system to support global financial stability?

Options :

1. European Central Bank was established
2. International Monetary Fund was formed
3. Bank for International Settlements created
4. Asian Development Bank was formed

Question Number : 87 Question Id : 4410092089856 Question Type : MCQ

Despite the 2008 Global Financial Crisis originating in the United States, which currency continued to serve as the world's dominant reserve currency for international trade and official foreign exchange reserves?

Options :

1. Chinese yuan renminbi
2. Japanese yen
3. Euro
4. United States dollar

Question Number : 88 Question Id : 4410092089866 Question Type : MCQ

How does the European Monetary Union benefit businesses operating in multiple member states?

Options :

1. Introduces automatic price control systems
2. Forces mergers between competing businesses
3. Facilitates easier cross-border trade and investment
4. Mandates profit sharing among all firms

Question Number : 89 Question Id : 4410092089864 Question Type : MCQ

What mechanism did the European Monetary System use to achieve its main function?

Options :

1. Establishing exchange rate bands for participating currencies
2. Controlling inflation independently in each country
3. Issuing eurobonds to finance development projects
4. Regulating cross-border taxation among member states

Question Number : 90 Question Id : 4410092089867 Question Type : MCQ

Which economic effect is most likely experienced by businesses due to the adoption of the euro in the European Monetary Union?

Options :

1. Increased currency volatility for exporters
2. Higher administrative costs for compliance
3. Reduced transaction costs for cross-border operations
4. Limited movement of capital between countries

Question Number : 91 Question Id : 4410092089870 Question Type : MCQ

What was a significant limitation of the Exchange Rate Mechanism within the European Monetary System?

Options :

1. It provided unlimited flexibility for all members
2. It ensured fixed exchange rates at all times
3. It eliminated the need for currency devaluations
4. It allowed only limited exchange rate fluctuations

Question Number : 92 Question Id : 4410092089851 Question Type : MCQ

Which scenario best illustrates a 'dirty float' in the context of exchange rate regimes?

Options :

1. Central bank sporadically buys or sells currency to influence rate
2. Exchange rate is announced daily by the central authority
3. Currency is allowed to float entirely without any intervention
4. Currency value is maintained at a fixed level at all times

Question Number : 93 Question Id : 4410092089854 Question Type : MCQ

Which primary function of the International Monetary Fund (IMF) distinguishes it from other international financial institutions?

Options :

1. Promoting exchange rate stability among member countries
2. Facilitating long-term development lending for infrastructure
3. Directly investing in member states' stock exchanges
4. Managing the global supply chain for commodities

Question Number : 94 Question Id : 4410092089868 Question Type : MCQ

How does the European Monetary Union (EMU) most significantly contribute to increased cross-border investment within the Eurozone?

Options :

1. Standardized tax rates across countries
2. Identical legal systems in every nation
3. Common language policies for businesses
4. Elimination of exchange rate risk for investors

Question Number : 95 Question Id : 4410092089871 Question Type : MCQ

How did speculative pressures exploit the design of the European Monetary System?

Options :

1. By manipulating export subsidy mechanisms
2. By altering national wage structures significantly
3. By targeting currencies with perceived misaligned values
4. By changing legislative frameworks rapidly

Question Number : 96 Question Id : 4410092089886 Question Type : MCQ

Which factor most contributes to the efficiency of the Eurocurrency market?

Options :

1. High taxation on cross-border lending
2. Strict exchange controls on every deal
3. Mandatory public reporting of deposits
4. Minimal regulatory restrictions on transactions

Question Number : 97 Question Id : 4410092089880 Question Type : MCQ

Which factor most critically influences the liquidity of a foreign exchange market in a developed economy?

Options :

1. Level of regulatory compliance maintained
2. Degree of market volatility observed
3. Presence of active market participants
4. Frequency of central bank interventions

Question Number : 98 Question Id : 4410092089884 Question Type : MCQ

In India's foreign exchange market, what is the primary function of the Clearing Corporation of India Limited (CCIL)?

Options :

1. Settlement of interbank forex transactions
2. Formulation of credit policy
3. Direct management of forex reserves
4. Regulation of foreign exchange rates

Question Number : 99 Question Id : 4410092089887 Question Type : MCQ

In the context of Eurobonds, what is the significance of bearer form securities?

Options :

1. Bearer form allows transfer without registration of ownership
2. Only central banks can possess bearer bonds
3. Bearer bonds are issued only for domestic markets
4. Registration with authorities is mandatory for transfer

Question Number : 100 Question Id : 4410092089892 Question Type : MCQ

Which of the following best describes a Global Depository Receipt (GDR) in the context of international equity markets?

Options :

1. A negotiable certificate representing foreign company shares in overseas markets
2. A tradable debt instrument issued across multiple foreign markets
3. A regulatory approval document permitting foreign portfolio investment activity
4. A domestic share certificate traded only within the issuing country